

the dividend, it is not the practice to pay to the tenant for life the estimated amount of the current dividend out of the proceeds (*a*), although it was held in one case under *very special circumstances*, that the tenant for life was entitled to an apportionment (*b*). [And so after a purchase of stock between two dividend days the tenant for life will be entitled to the whole dividend which is declared on the dividend day subsequent to the purchase (*c*).]

45. **Mortgage to replace stock and pay interim dividends.** — Under the ordinary power of varying securities, a trustee would not be justified in lending a sum of stock upon a mortgage of real estate, conditioned for the replacement of the specific *stock* at a future day, and the payment of half-yearly sums equal to what * would have been [*324] the *dividends* in the mean time. For the exercise of the power must be supposed to be beneficial to the parties interested, or some of them; whereas, in this case, it is difficult to point out what possible advantage can accrue, though the dividends be paid and the stock replaced. Nothing more is secured to the trust than would have been the effect of the original investment had it remained in *statu quo*; while a Government security is changed for the risk of a private security, and perhaps some expense incurred, and all this for no purpose. In short, such an arrangement would look like an accommodation to a friend, rather than as an investment in furtherance of the trust (*a*).

46. **Mortgage to replace stock and pay interim interest.** — The case is not so objectionable when the stock is to be replaced, and in the mean time *interest* exceeding the dividend is to be paid on the amount produced by the sale; for here, one of the persons whose interest is to be consulted, viz., the tenant for life, does receive a benefit *in presenti*, and the remainderman, if he outlive the tenant for life and

(*a*) *Scholefield v. Redfern*, 2 Dr. & Sm. 173; *Freeman v. Whitbread*, 1 L. R. Eq. 266; and see *Re Ingram's Trust*, 11 W. R. 980; *Bostock v. Blakeney*, 2 B. C. C. 654.

(*b*) *Lord Londesborough v. Somerville*, 19 Beav. 295.

[(*c*) *Re Clarke*, 18 Ch. D. 160.]

(*a*) Since the above remarks were written, judicial opinions have been expressed to this effect; *Pell v. De Winton*, 2 De G. & J. 18; *Whitney v. Smith*, 4 L. R. Ch. App. 519, 521.